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Student Number



Barker
College

2023

TRIAL HIGHER SCHOOL
CERTIFICATE EXAMINATION

Business Studies

Staff Involved:

AM TUESDAY 8th AUGUST
150 copies

- JPM (Mr Mann)
- LRN (Mr Nixon)
- JLC (Mrs Christoffersen)
- NLM (Mrs Maloy)
- AJD (Mr Darwell)
- APC (Mr Clinton)

ANSWER SHEET

Section I - Multiple Choice

Choose the best response and fill in the response oval completely

1. A ☐ B ☐ C ☐ D ☐
2. A ☐ B ☐ C ☐ D ☐
3. A ☐ B ☐ C ☐ D ☐
4. A ☐ B ☐ C ☐ D ☐
5. A ☐ B ☐ C ☐ D ☐
6. A ☐ B ☐ C ☐ D ☐
7. A ☐ B ☐ C ☐ D ☐
8. A ☐ B ☐ C ☐ D ☐
9. A ☐ B ☐ C ☐ D ☐
10. A ☐ B ☐ C ☐ D ☐

11. A ☐ B ☐ C ☐ D ☐
12. A ☐ B ☐ C ☐ D ☐
13. A ☐ B ☐ C ☐ D ☐
14. A ☐ B ☐ C ☐ D ☐
15. A ☐ B ☐ C ☐ D ☐
16. A ☐ B ☐ C ☐ D ☐
17. A ☐ B ☐ C ☐ D ☐
18. A ☐ B ☐ C ☐ D ☐
19. A ☐ B ☐ C ☐ D ☐
20. A ☐ B ☐ C ☐ D ☐

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General

Instructions:

- Write your Student Number on all answer pages
- Reading time - 5 minutes
- Working time - 3 hours
- Write using black pen
- NESA approved calculators may be used

Total marks:

100

Section I - 20 marks (pages 2 - 8)

- Attempt Questions 1 - 20
- Allow about 35 minutes for this section

Section II - 40 marks (pages 9 - 18)

- Attempt Questions 21 - 24
- Allow about 1 hour and 15 minutes for this section

Section III - 20 marks (page 21)

- Attempt Question 25
- Allow about 35 minutes for this section

Section IV - 20 marks (page 22)

- Attempt Question 26 OR Question 27
- Allow about 35 minutes for this section

3 A customer returns a sofa bed to the place of purchase as it has faulty springs.

What is the basis for the refund to the customer?

- A. Relationship marketing
- B. Accuracy in sales promotions
- C. Implied conditions
- D. Ethical requirements

4 A company purchases stock from low-cost suppliers regardless of the location.

What is this policy an example of?

- A. Specialisation
- B. Economies of scale
- C. Mass production
- D. Global sourcing

5 Which of the following is an ethical influence on marketing?

- A. Sugging
- B. Implied conditions
- C. Price discrimination
- D. Deceptive and misleading advertising

6 What is a disadvantage of holding stock?

- A. The stock can become obsolete
- B. Reduced lead times between order and delivery
- C. Stock gives the business the opportunity to generate immediate revenue
- D. Older stock can be sold at reduced prices which may improve cash flow

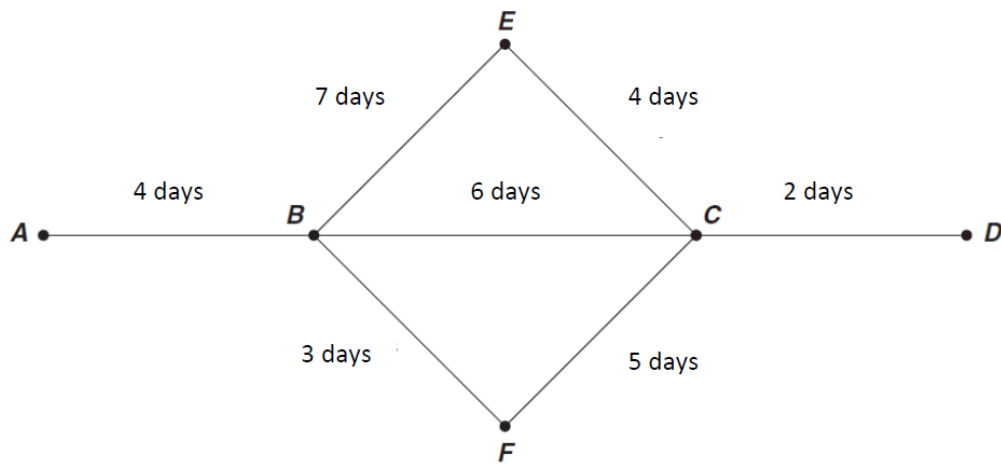
7. An Australian manufacturing business exports products to Japan.
- Which of the following best describes the impact of an appreciation in the value of the Australian dollar?
- A. There would be no effect on the Japanese business.
 - B. Australian imports from Japan would become more expensive.
 - C. Japanese businesses would find Australian products more affordable.
 - D. Australian products would become more expensive for Japanese businesses.
8. What organisation is directly responsible for regulating Australian financial markets?
- A. The Australian Competition and Consumer Commission
 - B. Reserve Bank of Australia
 - C. Australian Savings and Investment Commission
 - D. Australian Stock Exchange
9. Jennifer owns a florist and has a debt to equity ratio of 3:1.
- What will happen if the bank increases the interest rate on her loan?
- A. Gearing will improve and expenses will fall
 - B. Gearing will deteriorate and expenses will rise
 - C. Gearing will improve and expenses will rise
 - D. Gearing will deteriorate and expenses will fall
10. Which approach is being used when a business uses market research to develop its product?
- A. Relationship
 - B. Selling
 - C. Marketing
 - D. Production

11. A business has decided to develop and market a new laptop. Management has calculated the average cost for each laptop would be \$1000 and has added a 70% margin to set the final price.

Which type of pricing is this business using?

- A. Cost-based pricing
- B. Market-based pricing
- C. Penetration pricing
- D. Competition-based pricing

Use the following diagram to answer Question 12.



12. What is the length of the critical path for this project?

- A. 9 days
- B. 17 days
- C. 14 days
- D. 12 days

13. Globex Corp imports components for their production process from overseas.
- Which of the following method of payment results in the most financial risk to Globex Corp?
- A. Payment in advance
 - B. Clean payment
 - C. Letter of credit
 - D. Bill of exchange
14. A business has shifted from intensive distribution to more selective distribution.
- What is the most likely reason for this?
- A. To increase market share
 - B. To increase personal selling strategies
 - C. To expand the number of retailers
 - D. To reposition products as higher quality
15. Which of the following are objectives of Human Resource Management?
- A. Maximising labour turnover, minimising cost, legal and ethical compliance
 - B. Minimising cost, maximising productivity, legal and ethical compliance
 - C. Maximising cost, minimising productivity, corporate social responsibility
 - D. Maximising absenteeism, minimising the number of staff, legal and ethical compliance
16. Fantastic Plastics is a manufacturer of outdoor furniture. They are considering purchasing leading-edge technology but have delayed the decision due to higher interest rates.
- Which of the following factors has influenced their decision to postpone the implementation?
- A. Technology
 - B. Legal regulation
 - C. Government policies
 - D. Environmental sustainability

17. Why might a business move from a standardised to a customised global approach to marketing?
- A. To benefit from economies of scale
 - B. To reduce expenditure on market research
 - C. To minimise the risk of exchange rate fluctuations
 - D. To increase sales and market share locally
18. During 2022, 12 staff resigned from working at Atlas Pty Ltd and a total of 140 days were lost to absenteeism. On average the business has 156 staff working 5 days per week.
- What was the staff turnover rate in 2022?
- A. 8.6%
 - B. 7.7%
 - C. 17.9%
 - D. 38.5%

Use the following information to answer Questions 19 and 20.

<i>Revenue Statement for Sahara Sandwiches Pty Ltd Years Ending 2021 and 2022</i>		
	<i>2021 (\$)</i>	<i>2022 (\$)</i>
Sales	\$100,000	\$120,000
Cost of Goods Sold	\$60,000	\$90,000
Gross Profit	?	\$30,000
Expenses	\$10,000	?
Net Profit	\$30,000	\$15,000

Additional information:

Net profit ratio (net profit ÷ sales)

Expense ratio (total expenses ÷ sales)

19. What is the gross profit ratio (gross profit ÷ sales) for Sahara Sandwiches in 2022?

- A. 40%
- B. 12.5%
- C. 25%
- D. 4%

20. Which of the following best describes the change from 2021 to 2022?

	<i>Net Profit Ratio</i>	<i>Expense Ratio</i>
A.	Improves	Worsens
B.	Worsens	Worsens
C.	Improves	Improves
D.	Worsens	Improves

End of Section I

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Business Studies

Section II Answer Booklet

40 marks

Attempt Questions 21 - 24

Allow about 75 minutes for this section

Instructions

- Write your Student Number on every answer page.
- Answer the questions in the spaces provided. These spaces provide guidance for the expected length of response.
- Extra writing space is provided on pages 19 - 20. If you are using this space, clearly indicate which question you are answering.

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Student Number

Question 21 (10 marks)

- (a) Using an example, distinguish between transformed and transforming resources. **2**

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- (b) How does the volume of output influence the operations process? **2**

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Question 21 continues on page 12

Question 21 (continued)

- (c) Outline the purpose of task design.

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- (d) With reference to a business you have studied, discuss the impact of corporate social responsibility on the operations process.

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End of Question 21

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Student Number

Question 22 (10 marks)

Spook is an exclusive luxury fashion retailer with a target market of high-income customers.

Recently they have experienced a decrease in sales and profits due to an economic downturn. The business has decided to review their marketing plan in response to this change.

(a) How do sociocultural influences affect the customer's choice for this business? **4**

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Question 22 continues on page 14

Question 22 (continued)

- (b) Analyse THREE steps in the marketing process required to develop a new marketing plan for this business.

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End of Question 22

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Question 23 (10 marks)

Student Number

Use the following information to answer questions 23 (a) and (b).

Acme Kitchenware manufactures and sells pots and pans to department stores.

<i>Financial Information for Acme Kitchenware 2022</i>			
Current Assets	(\$)	Current Liabilities	(\$)
Cash	125 000	Accounts Payable	120 000
Accounts Receivable	60 500	Overdraft	120 780
Stock	110 000		
Non-Current Assets		Non-Current Liabilities	
Vehicles	260 000	Mortgage	20 000
Equipment	216 580		
		Owner's Equity	
		Capital	430 800
		Retained earnings	80 500

Additional information:

Net Profit: \$75 000

Industry average return on equity: 18%

- (a) Evaluate the owner's return on equity (net profit ÷ total equity).

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Question 23 continues on page 16

Question 23 (continued)

(b) How could *Acme Kitchenware* improve their level of working capital?

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(c) Why is efficiency a financial objective?

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End of Question 23

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Student Number

Question 24 (10 marks)

(a) Define corporate culture. **2**

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(b) Why would a business outsource their human resource functions? **3**

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Question 24 continues on page 18

Use the following information to answer Question 24 (c).

The table below contains data for a business between 2022 and 2023.

	2022	2023
Absenteeism per employee	10 days	15 days
Staff Turnover	15%	18%
Training expenditure per employee	\$2 100	\$3 400
Accidents per 100 employees	11	5

(c) Evaluate the effectiveness of human resources management at this business.

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End of Section II

Section II extra writing space

If you use this space, clearly indicate what question you are answering.

[illegible]

Section III

20 marks

Allow about 35 minutes for this section

Answer Question 25

Answer this section in the Section III Writing Booklet. Extra writing booklets are available.

Your answer will be assessed on how well you:

- demonstrate knowledge and understanding relevant to the question
 - apply the hypothetical business situation
 - communicate using relevant business terminology and concepts
 - present a sustained, logical and cohesive response in the form of a business report
-

Question 25 (20 marks)

Marvel Metals manufactures metal products for the Australian building industry.

Over the past few years, the business has experienced decreasing profitability and cash flow management problems. Rising inflation has affected a range of their costs such as raw materials, utilities and wages. They have also noticed significant delays in receiving payment from their customers.

Management is looking to adopt new technology, which will result in job cuts and retraining for some staff. Employees are unhappy with this potential change and it is contributing to increasing rates of absenteeism and staff turnover.

Management of *Marvels Metals* has hired you as a consultant to write a report addressing:

- Outline the strategic role of human resources management for this business.
- Examine the interdependence between finance and human resources for this business.
- Recommend ONE appropriate financial management strategy to address the business' financial problems.

End of Section III

Section IV

20 marks

Allow about 35 minutes for this section

Answer Question 26 or 27

Answer this section in the Section IV Writing Booklet. Extra writing booklets are available.

Your answer will be assessed on how well you:

- demonstrate knowledge and understanding relevant to the question
 - apply relevant business case study/studies and contemporary business issues
 - communicate using relevant business terminology and concepts
 - present a sustained, logical and cohesive response
-

Question 26 (20 marks)

Assess the importance of marketing strategies in achieving the marketing objectives of market share and brand awareness.

OR

Question 27 (20 marks)

Assess the importance of operations strategies in achieving the operations objectives of cost and quality.

End of Paper